

Rameshwar v. DVVNL & Another

High Court of Judicature at Allahabad · Division Bench · 16 March 2023 (order-sheet, 8.4.2011 to 16.3.2023) · WRIT - C No. - 20563 of 2011 · **Writ allowed; demand notice quashed as based on provisional (not final) assessment; liberty to challenge final order**

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HEADNOTE

Order-sheet culminating in a merits decision quashing a recovery demand. The petitioner's premises were inspected on 13.5.2010, a Provisional Assessment was made on 22.5.2010, and he filed objections on 3.6.2010 which he said were never decided; a Demand Notice dated 7.2.2011 was then issued to recover the amount assessed against him under the provisional assessment order. He challenged the demand notice as issued without a final assessment order in existence and without the hearing required by Clause 6.8(b)(i)-(ii) of the U.P. Electricity Supply Code, 2005 and Section 126(3) of the Electricity Act, 2003 (relying on Khem Chand v. Union of India on 'reasonable opportunity'). On 18.5.2011 recovery was stayed on a deposit of Rs.1,15,000. Deciding the writ on 16.3.2023, the Division Bench (Manoj Kumar Gupta and Prashant Kumar, JJ.) noted that the demand notice recovered the amount assessed under the provisional assessment order of 22.5.2010, while the respondents' counter affidavit did not dispute that a final assessment order had been passed on 29.6.2010; a demand notice issued on the basis of the provisional assessment (and not the final assessment order) is illegal, and was accordingly quashed. The writ was allowed to that extent, with liberty to the petitioner to challenge the final assessment order in appropriate proceedings.

FACTUAL SUMMARY

Rameshwar's premises were inspected on 13 May 2010 by Dakshinanchal Vidyut Vitran Nigam Ltd. (DVVNL); a Provisional Assessment was made on 22 May 2010; and he submitted objections to the concerned Executive Engineer against the provisional assessment on 3 June 2010, which, he said, were never decided. He complained to the higher authority on 9 June 2010 and filed a notarised affidavit of villagers with an application on 12 August 2010. A Demand Notice dated 7 February 2011 was then issued to recover the amount assessed against him under the provisional assessment order dated 22 May 2010. He filed Writ-C No.20563 of 2011 contending (paragraphs 9 and 16 of the writ) that the provisional assessment order did not specify any date of hearing as contemplated by Clause 6.8(b)(i) and (ii) of the U.P. Electricity Supply Code, 2005 and Section 126(3) of the Electricity Act, 2003, that his written reply had not been decided, and that Section 126(3)'s 'reasonable opportunity of hearing' - as explained in Khem Chand v. Union of India, AIR 1958 SC 300 - had been denied; and that the demand notice had been issued without a final assessment order in existence. On 18 May 2011 the Court entertained the petition and stayed recovery subject to a deposit of Rs.1,15,000 within four weeks. After several years' adjournments, the Division Bench of Manoj Kumar Gupta and Prashant Kumar, JJ. decided the writ on 16 March 2023.

REUSABLE CONSTRUCTIONS

1. A demand notice or recovery founded on a provisional assessment order is illegal where a final assessment order has been passed; recovery must be based on the final assessment order under Section 126 of the Electricity Act, 2003, not on the provisional assessment. **order of 16.3.2023**
2. Where the licensee's own counter affidavit admits that a final assessment order was passed, a demand notice that still recovers the amount assessed under the provisional assessment order is liable to be quashed, leaving the assessee free to challenge the final assessment order in appropriate proceedings. **order of 16.3.2023**
3. Quashing a demand notice grounded on the provisional assessment does not adjudicate the validity of the final assessment order; the assessee retains liberty to challenge the final assessment order separately. **order of 16.3.2023**

HOLDING-UNITS

HOLDING-UNIT · EA2003::126

RATIO

A demand notice recovering under the provisional assessment is illegal where a final assessment order has been passed

QUESTION

Is a demand notice illegal where it recovers the amount assessed under the provisional assessment order although a final assessment order has been passed?

HOLDING

Yes. The demand notice dated 7.2.2011 recovered the amount assessed against the petitioner under the provisional assessment order dated 22.5.2010, while the respondents' counter affidavit did not dispute that the final assessment order was passed on 29.6.2010. A demand notice issued on the basis of the provisional assessment notice, and not the final assessment order, is illegal, and was accordingly quashed. The writ petition was allowed to that extent, the petitioner being left at liberty to challenge the final assessment order in appropriate proceedings. [order of 16.3.2023](#)

EVIDENCE “The instant petition has been filed challenging the demand notice dated 07.02.2011 issued by respondent No.2 for recovery of the amount assessed against the petitioner under the provisional assessment order dated 22.05.2010.” [order of 16.3.2023](#)

EVIDENCE “it is not disputed that the final assessment order was passed on 29.06.2010. Meaning thereby that the demand notice was issued on the basis of provisional assessment notice and which renders the same illegal and accordingly, the same is quashed.” [order of 16.3.2023](#)

EVIDENCE “As regards the final assessment order, the petitioner will be at liberty to challenge the same in appropriate proceeding.” [order of 16.3.2023](#)

FLAG Order-sheet: no printed page numbers or numbered paragraphs; pins are order dates. The interim order is of 18.5.2011 (Satya Poot Mehrotra and Jayashree Tiwari, JJ.); the operative merits disposal is the 16.3.2023 order (Manoj Kumar Gupta and Prashant Kumar, JJ.).

PRINCIPLE TAGS

demand-notice-on-provisional-assessment-is-illegal A demand notice recovering the amount assessed under the provisional assessment order is illegal once a final assessment order has been passed, and is quashed. Same Section 126 assessment cluster as SCJ-047 and SCJ-034. [order of 16.3.2023](#)

recovery-must-rest-on-final-assessment-order Recovery under Section 126 must be founded on the final assessment order, not the provisional assessment; quashing the demand notice leaves the assessee at liberty to challenge the final assessment order separately. Companion to the provisional/final-order point in SCJ-1267. [order of 16.3.2023](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE ASSESSMENT PROCEEDINGS VIOLATED THE HEARING REQUIREMENTS OF CLAUSE 6.8(B)(I)-(II) OF THE SUPPLY CODE, 2005 AND SECTION 126(3) OF THE ELECTRICITY ACT, 2003
The petitioner contended (relying on *Khem Chand v. Union of India*) that no date of hearing was fixed and his objections were never decided, denying the reasonable opportunity required by Section 126(3) and Clause 6.8(b); the Court did not decide this, quashing the demand notice on the narrower ground that it rested on the provisional assessment. [order of 18.5.2011](#); [order of 16.3.2023](#)

NOT DECIDED — VALIDITY OF THE FINAL ASSESSMENT ORDER DATED 29.6.2010

The Court left the petitioner at liberty to challenge the final assessment order dated 29.6.2010 in appropriate proceedings; its validity was not adjudicated in this writ. [order of 16.3.2023](#)

RELATED CASES — SEE ALSO

SCJ-1267 — Companion order-sheet raising the same provisional-versus-final assessment point (no Final Assessment Order); there left undecided as infructuous, here decided by quashing the demand notice.

SCJ-047 — Section 126 assessment and Section 127 appeal cluster under the Electricity Act, 2003.

SCJ-034 — Section 126 provisional/final assessment cluster.

SCJ-092 — Section 126 assessment cluster (challenge to assessment/recovery).

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Khem Chand v. Union of</i>	A 'reasonable opportunity of	Cited on the content of 'reasonable opportunity' under Section 126(3); not adjudicated, the writ being decided on the narrower	Petitioner	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>India</i> AIR 1958 SC 300 Supreme Court of India	hearing' includes the opportunity to defend oneself by cross- examining the witnesses produced against him, to examine himself or other witnesses in support of his defence, and to make representation as to why the proposed action should not be taken.	ground that the demand notice rested on the provisional assessment order of 18.5.2011 (quoting paragraph 16 of the writ petition)		

SCJ-1268 · Rameshwar v. DVVNL & Another · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.